

onboard sales, loyalty programmes, and freight—have also become substantial contributors, offering high-margin buffers that reduce vulnerability to fare wars.

On paper, then, unit economics are moving in the right direction: more revenue per seat, lower costs per seat, and stronger operating margins. However, the paradox is that absolute losses have widened. This is the classic challenge of growth-stage airlines. Rapid expansion improves operating metrics, but fixed costs—such as aircraft leases, salaries, training, and airport charges—along with external shocks like fuel volatility and foreign exchange fluctuations, continue to outweigh short-term gains.

Jitendra Bhargava, former Executive Director of Air India, says the airline has several things going for it: a stable aviation policy, a team of skilled professionals, a backlog

of aircraft orders. “What it needs to do is increase the network and have more flights in key cities. Only then will passengers increasingly start frequenting the airline.”

Mohan Kumar points out that capital productivity is an area the airline should look at closely. He cites the example of Air Deccan’s paid-up capital, which was ₹98 crore, but with revenues of ₹3,000 crore, the topline-to-capital ratio was 30 times. “The biggest airline in the country, IndiGo, has a very healthy topline-to-capital ratio. That demonstrates high capital productivity. Using smaller capital to generate larger business is the hallmark of a smart airline—and this is where Akasa should focus.”

DOUBLE-DIGIT GROWTH

While the airline’s management is happy with market share growth, Dubey says it is not their primary

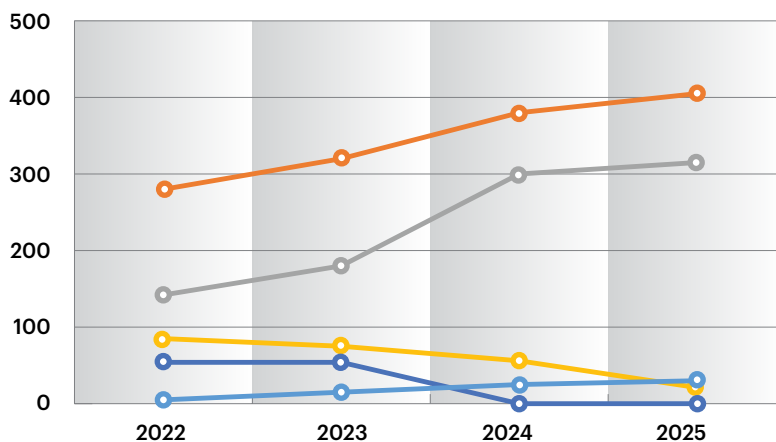
focus. “We are building an airline for the ages, not for monthly share figures. Safety, cost structure, and service excellence matter more.”

According to Mohan Kumar, however, keeping an eye on market share is essential because airlines with a broader market share can command a premium. “Once an airline builds a large network, passengers are often willing to pay slightly more because of convenience and reliability. Akasa hasn’t reached that point. Unless it rapidly expands its network, any marketing expenditure or promotional efforts will have a limited impact. Cost amortisation remains low, and without scale, it will struggle,” says Mohan Kumar.

That said, by the end of the decade, Akasa expects its market share to be in the double digits. More importantly, it hopes to rank among the world’s top 30 airlines in terms of profits.

FLEET STRENGTH

- Akasa has quietly built up its fleet, even as the ruling duo of IndiGo and Air India have also ramped up their orders



■ AKASA AIR ■ INDIGO ■ AIR INDIA GROUP ■ SPICE JET ■ GO FIRST

NUMBER OF AIRCRAFT; SOURCE COMPANIES



“Akasa has hired far too many pilots when many of its aircraft haven’t even been inducted. They are being paid salaries as well, which adds to the airline’s burden”

M. G. MOHAN KUMAR
FORMER CFO AND FINANCE
DIRECTOR, AIR DECCAN